Vinamilk (HOSE: VNM): Valuation Summary

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Personal project, October 2026

5-year unlevered DCF + trading comparables in Excel | Balance sheet at 30 Jun 2026 | Market data at 16 Oct 2026 close | Unit: VND billions unless stated

Question. Is Vinamilk, Vietnam's largest dairy company, fairly priced? Valued two ways: a DCF built from audited filings, and trading comparables against regional dairy peers.

VND 64,963	VND 68,710–74,353	VND 57,800	+12% / +19–29%
DCF value per share (base case)	Trading comps (25th–75th pct)	Market price, 16 Oct 2026	Upside: DCF / comps

Conclusion. Both methods point to undervaluation: the DCF gives VND 64,963 per share (+12%) and trading comps VND 68,710–74,353 (+19–29%). VNM trades at an 18% EV/EBITDA discount to peers despite a 7-point higher EBITDA margin. Part of that gap is likely structural (frontier-market status, foreign-ownership limits), so not all of it is upside.

DCF forecast summary

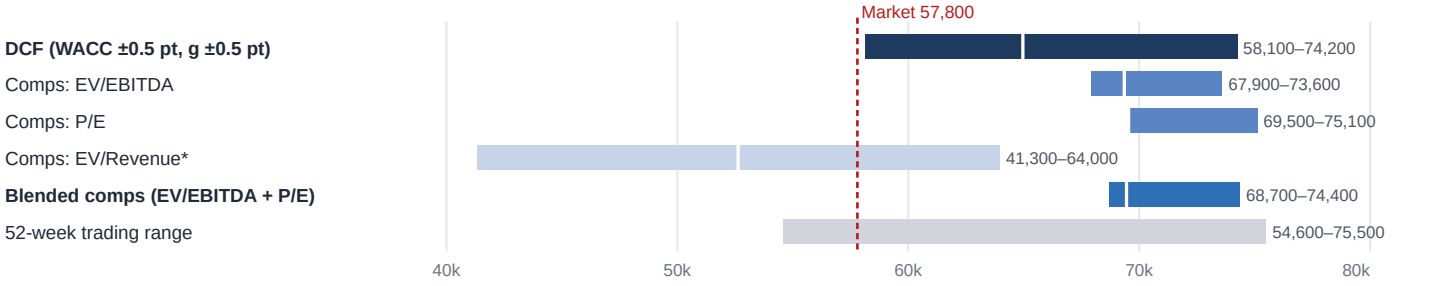
VND bn	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	63,646	70,647	73,826	76,779	79,466	81,850
Growth	3.0%	11.0%	4.5%	4.0%	3.5%	3.0%
EBIT	10,664	12,575	12,920	13,283	13,668	13,915
EBIT margin	16.8%	17.8%	17.5%	17.3%	17.2%	17.0%
Unlevered free cash flow	**6,315**	**4,643***	**8,342**	**8,476**	**8,630**	**8,676**

* H2 2026 only; H1 cash flow is already in the 30 Jun cash balance.

From EV to value per share

VND bn	
PV of free cash flow	30,483
PV of terminal value	90,427
Enterprise value (EV)	**120,910**
+ Cash, deposits and associates	27,114
− Debt and non-controlling interests	(12,254)
Equity value	**135,770**
Shares outstanding (bn)	2.090
Value per share (VND)	**64,963**

Football field: value per share (VND)



Bars show low–high, tick shows midpoint; comps use the peer 25th–75th percentile. *Not weighted: VNM's margins are well above peers, so revenue multiples understate it.

Trading comparables (FY2025A, prices 16 Oct 2026)

Company	EV/EBITDA	P/E	EBITDA margin	Revenue growth
Yili (China)	12.7x	15.4x	14.1%	0.1%
Mengniu (China)	9.1x	n.m.	9.8%	-7.3%
Ultrajaya (Indonesia)	10.0x	15.4x	21.1%	-1.2%
Dutch Lady (Malaysia)	10.0x	17.9x	12.1%	3.8%
Peer median	**10.0x**	**15.4x**	**13.1%**	**-0.6%**
VNM at market	**8.2x**	**12.8x**	**20.5%**	**3.0%**
VNM vs. median	-18%	-17%	+7.4 pt	+3.6 pt

Mengniu P/E n.m. (impairments). Nestlé Malaysia excluded (structural premium).

DCF sensitivity: value per share (VND)

WACC / g	2.0%	2.5%	3.0%	3.5%	4.0%
8.55%	66,695	70,619	75,250	80,798	87,563
9.05%	62,506	65,820	69,682	74,239	79,698
9.55%	58,871	61,701	**64,963**	68,764	73,248
10.05%	55,688	58,127	60,913	64,123	67,863
10.55%	52,876	54,997	57,398	60,139	63,299

Green = at or above market price; red = below.

Key judgement calls

- **WACC 9.55%** (bond yield 4.58% + beta 0.67 × risk premium 8.13%). A Damodaran-consistent treatment would put it near 7% and raise the value.
- **Terminal value is ~75% of DCF EV,** and 2026E revenue and margin sit above management's target.
- **Comps:** four regional peers and three usable P/Es, blended 50% EV/EBITDA and 50% P/E.
- **Equity bridge:** VND 21,968bn of bank deposits treated as fully liquid; NCI at book value.

Sources: Vinamilk audited FY2021–25 and H1 2026 financial statements (KPMG-reviewed); Vietstock; Trading Economics; Damodaran (Jan 2026); VNDirect. Peers: company filings, Yahoo Finance, StockAnalysis, Investing.com, Simply Wall St. Full sources and assumptions in the Excel models. Educational project; not investment advice.